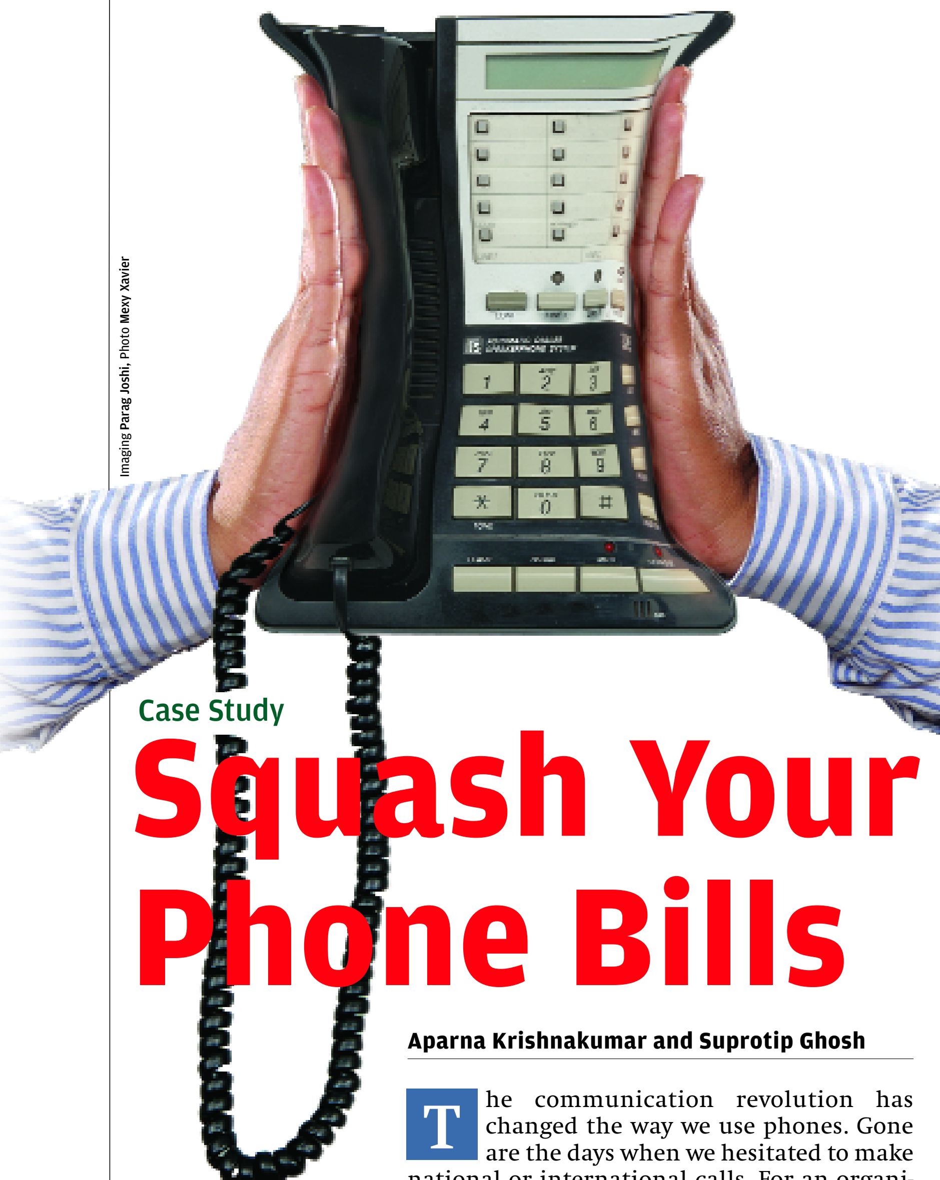

Imaging Parag Joshi, Photo Mexy Xavier

Case Study

Squash Your Phone Bills

Shamrao Vitthal Co-op Bank saved Rs 25 lakh by switching over to VoIP. This is the story of how it happened

Aparna Krishnakumar and Suprotip Ghosh

The communication revolution has changed the way we use phones. Gone are the days when we hesitated to make national or international calls. For an organisation, it is even more imperative to be in touch with employees as well as clients.

And so, when calls are made even to check whether someone is present within the company, or one makes STD and ISD calls in the daytime, the meter ticks away furiously.

Hence many organisations use an STD/ISD lock or disallow personal calls. But what do you do when constant calling is inevitable?

The initial euphoria over dial-up connections and the overdependence on MTNL is slowly dying. Companies and individuals are discovering alternative, cost-effective ways of staying connected. Voice over Internet Protocol telephony (VoIP) and Closed User Groups (CUGs) are two such. And in this case, a co-operative bank shows that, when it comes to using technology or its services, it need not be an order issued from a higher authority.

About Shamrao Vithal Co-op Bank

Shamrao Vithal Co-operative (SVC) Bank, originally registered as a Co-operative Credit Society in 1906, is a leader in its segment with deposits of Rs 1,449.30 crore. With nearly 92,000 account holders, it operates from 42 locations in Maharashtra, Karnataka, Mumbai and Goa.

Their activities include fixed deposits, savings bank deposits, cumulative deposits, cash credit loan systems, and cash certificates. Two years ago, they deployed a distributed core-banking application on their intranet and linked all 38 branches and the four extension counters.

The application—a departure from the standard centralised deployment form-came in for a lot of flak from industry analysts.

As a major player in the increasingly competitive Indian banking sector, SVC Bank, like all other banks, was facing increasing competition from private and multinational banks.

Technology-led Growth

Faced with a slowdown in profits due to declining lending rates and a lack of growth in deposits, SVC's target was to accelerate growth while minimising costs. There was also a need to expand customer base.

As a core thrust area, the bank identified extensive service automation as a possible route. Says Ravi Kiran Mankikar, Chief, Information Technology, SVC Bank, "The speed of delivery of financial transactions is critical to any bank's operations.

That needs authorisation and constant communication between the head office and branches. Speedy decisions need instantaneous communicationthat has to be reliable, secure and authenticated. Earlier, decision makers communicated via e-mail, telephone, fax, and through instant messaging. However, this entailed significant costs that needed to be reduced."

This aside, SVC intended to integrate seamlessly with its core-banking application, which follows a distributive deployment instead of the standard centralised form of implementa-